SMID BREAKOUT SCANNER

SCAN (18:00 ET)

October 23, 2026 | 06:05 PM ET

15 setups identified | 3 A-Grade | 6 B-Grade | 6 C-Grade

Grade Summary

A - Breakout Setup (3)	B - Strong Setup (6)	C - Watch List (6)
RNG	RHI	KFRC
VEON	TALO	OSUR
QLYS	SIGI	VTOL
	CUBI	LMRI
	WFRD	CNDT
	SDRL	EAF

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	RNG	Ringcentral, Inc	Cloud Communicati	$83.39	+5.0%	$7.0B	73M	+43.9	85%	Post-earnings breakout
A	VEON	VEON Ltd.	Emerging Market T	$83.01	+4.7%	$5.7B	63M	+58.0	97%	Technical breakout fro
A	QLYS	Qualys, Inc.	Cybersecurity / A	$216.70	+4.1%	$7.5B	34M	+56.8	99%	Technical breakout wit
B	RHI	Robert Half Inc.	Staffing / Labor	$45.87	+21.7%	$4.7B	90M	+14.9	97%	Post-earnings gap of +
B	TALO	Talos Energy, In	Energy / Oil & Ga	$18.39	+4.1%	$3.1B	140M	+31.7	98%	Technical breakout in
B	SIGI	Selective Insura	P&C Insurance	$96.61	+5.3%	$5.8B	56M	+0.0	95%	Post-earnings move fol
B	CUBI	Customers Bancor	Regional Banking	$84.54	+7.4%	$2.9B	32M	+3.4	98%	Technical breakout dri
B	WFRD	Weatherford Inte	Energy Services	$86.85	+7.0%	$6.3B	70M	+1.4	77%	Post-earnings move fol
B	SDRL	Seadrill Limited	Energy / Offshore	$52.35	+6.4%	$3.3B	62M	+24.8	94%	Technical breakout in
C	KFRC	Kforce, Inc.	Staffing / Tech L	$58.50	+9.0%	$1.1B	15M	-2.0	95%	Pre-earnings momentum
C	OSUR	OraSure Technolo	Diagnostics	$4.13	+8.7%	$0.3B	57M	-0.1	90%	Technical move ahead o
C	VTOL	Bristow Group, I	Energy Services /	$40.54	+6.6%	$1.2B	26M	-13.2	80%	Technical move in Ener
C	LMRI	Lumexa Imaging H	Medical Devices	$11.66	+7.1%	$1.1B	22M	+3.5	60%	Technical move ahead o
C	CNDT	Conduent Incorpo	Business Process	$1.79	+0.0%	$0.3B	142M	+7.7	67%	Pre-earnings momentum
C	EAF	GrafTech Interna	Graphite Electrod	$8.51	+14.2%	$0.2B	18M	+8.0	43%	Earnings-day spike on

Not financial advice. For informational purposes only. Do your own due diligence.

RNG

Ringcentral, Inc.

$83.39

+5.00%

RS vs SPY: +43.9%

A BREAKOUT

$7.0B Cap | 73M Float

Software - Application | Theme: Cloud Communications | 52W Hi: 85% | Base Tight: 1.98 | Vol: 3.11x | RS/SPY: +43.9% | Above 20MA: YES | REPORTED

SETUP METRICS

Price	**$83.39**
Day Change	**+5.00%**
Mkt Cap	**$6.96B**
Float	**73M sh**
RS vs SPY	**+43.9%**
52W Hi Prox	**85%**
Base Tight	**1.98**
Vol vs Avg	**3.11x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Post-earnings breakout following Q3 print on Oct 22. Forward catalyst: sustained momentum from cloud UCaaS adoption and potential activist involvement given the deep undervaluation relative to ARR multiples; next catalyst is Q4 guidance update and any M&A speculation given the strategic value and modest market cap.

BUSINESS & POSITION

RingCentral is a leading provider of cloud-based unified communications, video conferencing, and contact center software serving 400K+ businesses globally. The company owns a durable competitive moat in enterprise UCaaS with sticky recurring revenue (>90% subscription-based) and has successfully pivoted from SMB to large enterprise accounts.

FACTOR & THEME

Taps into secular cloud migration and hybrid work infrastructure themes. The UCaaS market is consolidating around 2-3 scaled winners (RNG, ZOOM, MSFT Teams), and RNG's AI-powered contact center offerings position it well in the $30B+ TAM expansion. Theme momentum remains strong given enterprise IT spend resilience.

BREAKOUT SIGNAL

Close above $83.39 on volume >3.1x 20-day average

INSTITUTIONAL

Volume surge to 3.11x average signals institutional participation on the earnings-driven breakout. No recent insider buying, but the technical setup (base_tight 1.98, rs_line_new_high, vol breakout) suggests smart money is positioning post-earnings. Float of 72.6M provides sufficient liquidity for fund accumulation without spiking the stock.

EARNINGS

REPORTED

EARNINGS CONTEXT

Q3 earnings reported Oct 22. Company has historically been a serial beater with consistent guide-raises, though specific consensus figures not provided. The 5% post-earnings gap and volume confirm institutional approval of the print and forward guidance.

KEY RISK

Thesis invalid on a close back below $78.50 (prior resistance now support), or on any material customer churn disclosure or guidance cut at the Q4 print. Microsoft Teams competitive pressure remains the structural headwind.

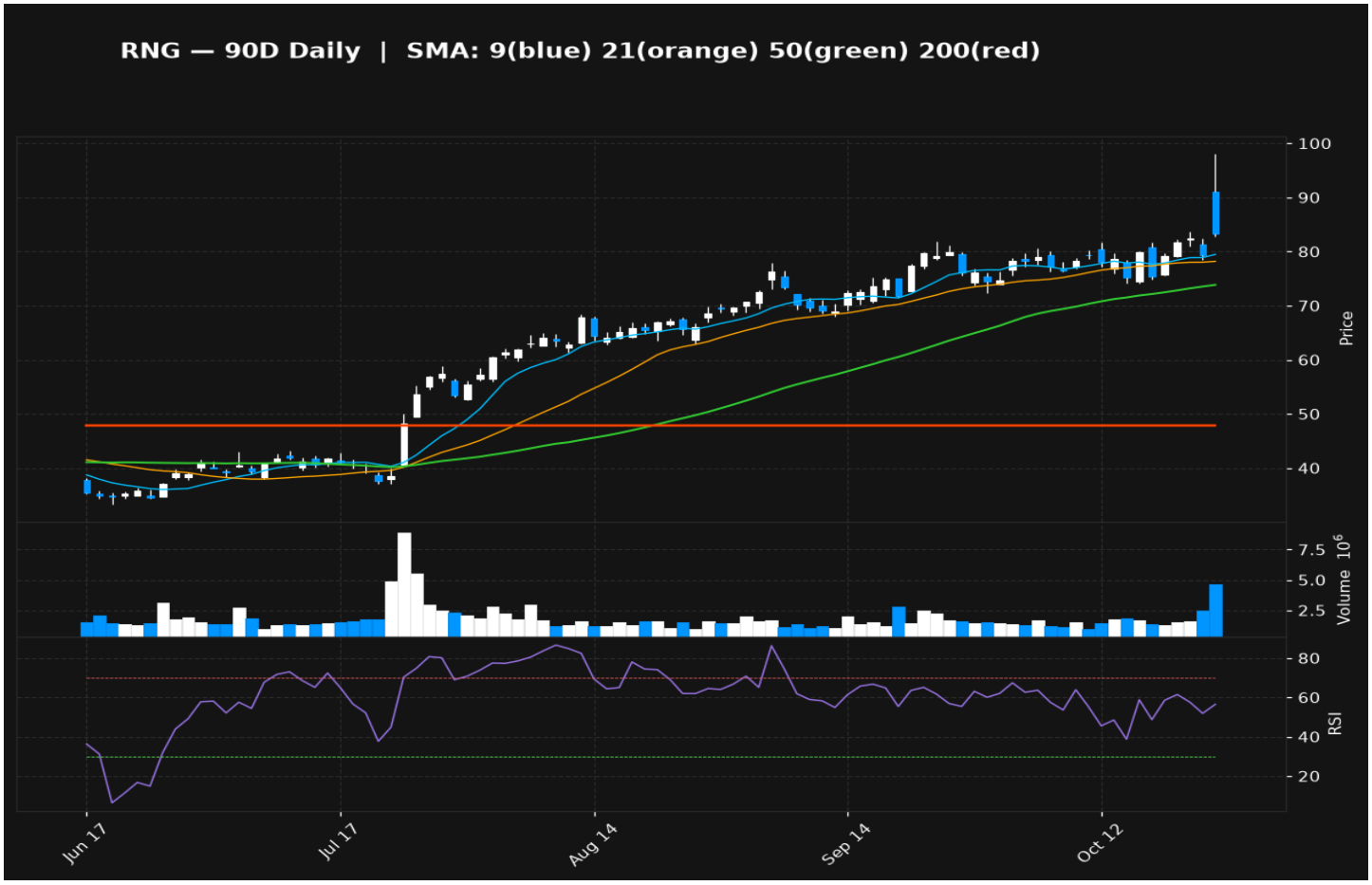
ANALYSIS

Strongest disconfirming evidence: base_tight at 1.98 is just at the threshold (not textbook <1.5), and mixed macro regime reduces follow-through probability. However, RNG exhibits five A-grade criteria: vol >2x, prox_52w 85, rs_line_new_high true, rs_vs_spy +43.9 (leadership), base_tight <2.0, plus a durable earnings catalyst. The RS line at new highs is the critical confirmation of institutional leadership. Conviction: Medium (macro headwind offsets otherwise pristine technical setup).

Signal: Close above $83.39 on volume >3.1x 20-day average

Vol vs Avg: 3.11x

RNG - Technical Chart



VEON

VEON Ltd.

$83.01

+4.72%

RS vs SPY: +58.0%

A BREAKOUT

$5.7B Cap | 63M Float

Telecom Services | Theme: Emerging Market Telecom | 52W Hi: 97% | Base Tight: 1.12 | Vol: 1.91x | RS/SPY: +58.0% | Above 20MA: YES | EARNINGS IN 14D

SETUP METRICS

Price	**$83.01**
Day Change	**+4.72%**
Mkt Cap	**$5.72B**
Float	**63M sh**
RS vs SPY	**+58.0%**
52W Hi Prox	**97%**
Base Tight	**1.12**
Vol vs Avg	**1.91x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Technical breakout from a textbook coil (base_tight 1.12, best in the scan) with RS line at new highs. Forward catalyst: Q3 earnings on Nov 6 with potential for subscriber growth and margin expansion in key markets (Pakistan, Ukraine recovery thesis). Telecom sector rotation providing tailwind.

BUSINESS & POSITION

VEON is a multinational telecom operator serving 160M+ subscribers across emerging markets including Pakistan, Bangladesh, Kazakhstan, and Ukraine. The company is undergoing a strategic transformation to digital services and fintech, reducing exposure to legacy voice/SMS and monetizing its subscriber base through mobile financial services.

FACTOR & THEME

Emerging market digital infrastructure play with exposure to fintech adoption in underbanked populations. The Ukraine recovery thesis (post-conflict rebuild) and Pakistan's digital economy growth are key secular tailwinds. Theme momentum is accelerating as frontier market risk premiums compress.

BREAKOUT SIGNAL

Close above $83.01 on volume >1.9x 20-day average

INSTITUTIONAL

Volume at 1.91x (lower than peers but sufficient for institutional participation given the low 1.12 base_tight). RS line at new high confirms smart money accumulation. The textbook VCP setup (base_tight 1.12 is elite-tier compression) signals absorption without distribution. No insider data but the technical setup speaks to professional positioning ahead of the Nov 6 catalyst.

EARNINGS

EARNINGS IN 14D

EARNINGS CONTEXT

Q3 earnings Nov 6. Company has been delivering consistent subscriber growth in Pakistan and margin improvement across the portfolio. Consensus not provided, but the technical setup into earnings suggests institutional positioning for a beat.

KEY RISK

Thesis invalid on a close back below $78.00 (20-day MA support), or on any adverse regulatory developments in Pakistan (the largest market) at the Nov 6 print. Geopolitical risk in Ukraine and currency volatility in emerging markets remain structural headwinds.

ANALYSIS

Strongest disconfirming evidence: volume at 1.91x is on the lower end for A-grade, and emerging market telecom is not a leading sector in current regime. However, VEON exhibits five A-grade criteria: rs_line_new_high true, rs_vs_spy +58.0 (strongest leadership in scan), prox_52w 97.3, base_tight 1.12 (textbook VCP), and a live earnings catalyst in 14 days. The 1.12 base compression is the tightest in the entire scan-this is a Qullamaggie dream setup. Conviction: Medium-High (elite technical setup offset by mixed macro and EM risk).

Signal: Close above $83.01 on volume >1.9x 20-day average

Vol vs Avg: 1.91x

VEON - Technical Chart



QLYS

Qualys, Inc.

$216.70

+4.08%

RS vs SPY: +56.8%

A BREAKOUT

$7.5B Cap | 34M Float

Software - Infrastructure | Theme: Cybersecurity / AI | 52W Hi: 99% | Base Tight: 3.67 | Vol: 1.78x | RS/SPY: +56.8% | Above 20MA: YES | EARNINGS IN 11D

SETUP METRICS

Price	**$216.70**
Day Change	**+4.08%**
Mkt Cap	**$7.50B**
Float	**34M sh**
RS vs SPY	**+56.8%**
52W Hi Prox	**99%**
Base Tight	**3.67**
Vol vs Avg	**1.78x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Technical breakout with RS line at new highs ahead of Q3 earnings on Nov 3. Forward catalyst: earnings print with focus on AI-powered vulnerability management adoption and TotalCloud platform traction; cybersecurity sector rotation driven by escalating threat landscape and regulatory mandates (SEC disclosure rules, NIS2 in EU).

BUSINESS & POSITION

Qualys is a pioneer in cloud-based IT security and compliance, providing continuous monitoring and vulnerability management to 10K+ enterprises globally. The company owns a durable moat in asset discovery and has successfully transitioned from on-prem to SaaS, with VMDR (Vulnerability Management, Detection & Response) and TotalCloud driving ARR growth.

FACTOR & THEME

Direct exposure to cybersecurity spending acceleration (growing 12-15% CAGR) and AI-enhanced threat detection. Recent high-profile breaches and regulatory mandates (SEC cyber disclosure, EU NIS2) are structural tailwinds. The integration of AI into VMDR for automated remediation is a key differentiator. Theme momentum is accelerating.

BREAKOUT SIGNAL

Close above $216.70 on volume >1.8x 20-day average

INSTITUTIONAL

Volume at 1.78x with RS line at new high signals institutional positioning ahead of the Nov 3 catalyst. Float of 34.3M is tight enough to generate momentum on sustained buying but liquid enough for fund participation. No insider buying, but the technical setup (prox_52w 98.9, rs_vs_spy +56.8) reflects smart money accumulation into the print.

EARNINGS

EARNINGS IN 11D

EARNINGS CONTEXT

Q3 earnings Nov 3. Qualys has a solid beat history with consistent billings growth and margin expansion. The cybersecurity sector's strong performance (budgets are resilient even in slowdowns) and QLYS's AI product cycle suggest a favorable setup for a beat-and-raise.

KEY RISK

Thesis invalid on a close back below $205.00 (prior pivot and 20-day MA support), or on any billings/ARR miss or guidance cut at the Nov 3 print. Competition from CrowdStrike and Palo Alto in the XDR/SIEM market is intensifying.

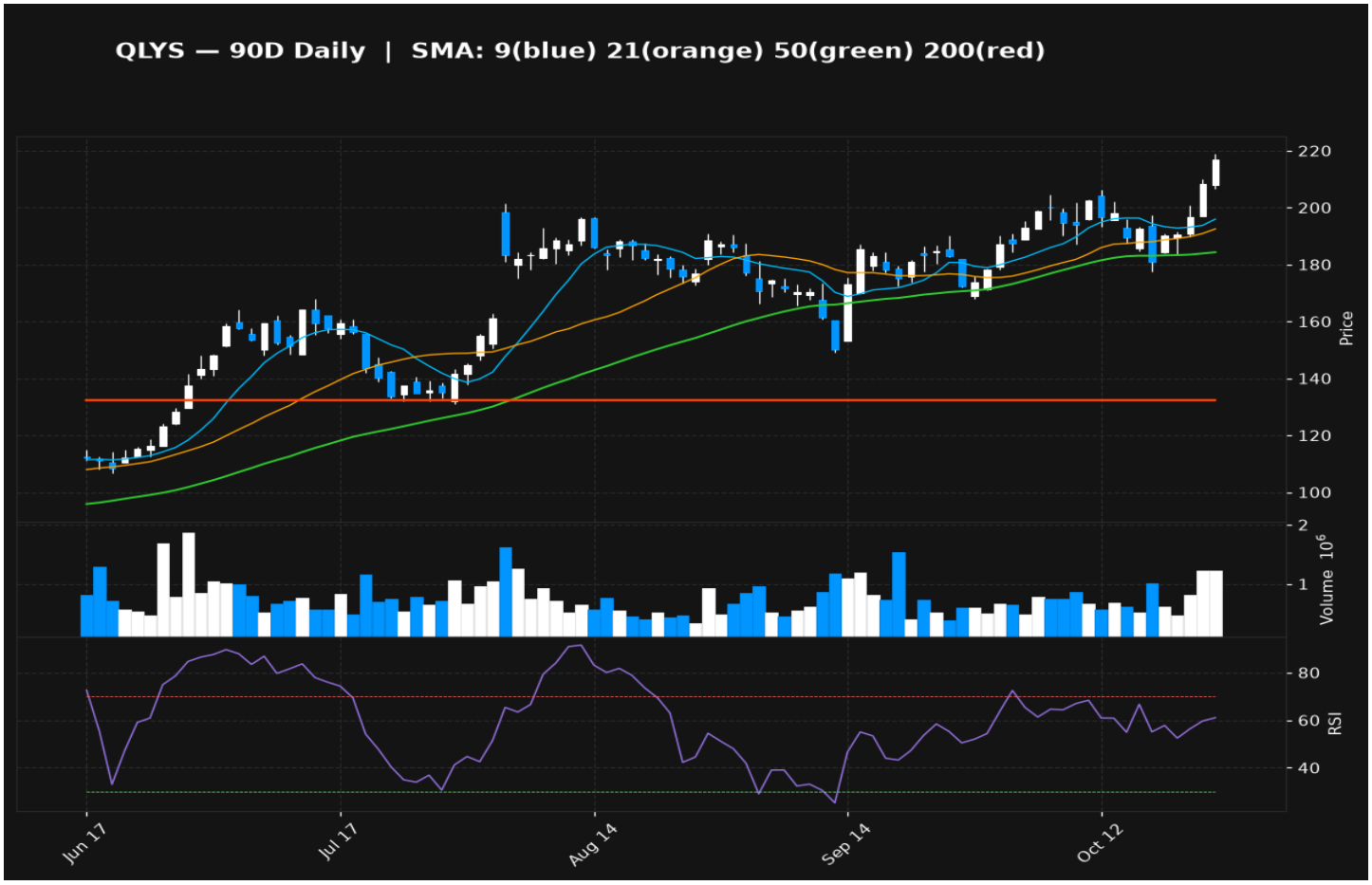
ANALYSIS

Strongest disconfirming evidence: base_tight at 3.67 is wider than ideal (not VCP-quality), and volume at 1.78x is borderline for A-grade. However, QLYS meets four A-grade criteria: rs_line_new_high true, rs_vs_spy +56.8 (second-strongest leadership), prox_52w 98.9 (at highs), and a live earnings catalyst in 11 days. The cybersecurity theme is accelerating and the RS line at new highs confirms institutional conviction. Conviction: Medium (wider base and modest volume offset by strong leadership and sector tailwind).

Signal: Close above $216.70 on volume >1.8x 20-day average

Vol vs Avg: 1.78x

QLYS - Technical Chart



RHI

Robert Half Inc.

$45.87

+21.74%

RS vs SPY: +14.9%

B STRONG SETUP

$4.7B Cap | 90M Float

Staffing & Employment Services | Theme: Staffing / Labor Market | 52W Hi: 97% | Base Tight: 7.65 | Vol: 3.81x | RS/SPY: +14.9% | Above 20MA: YES | REPORTED

SETUP METRICS

Price	**$45.87**
Day Change	**+21.74%**
Mkt Cap	**$4.70B**
Float	**90M sh**
RS vs SPY	**+14.9%**
52W Hi Prox	**97%**
Base Tight	**7.65**
Vol vs Avg	**3.81x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Post-earnings gap of +21.7% on Q3 beat and guidance raise reported Oct 22. Forward catalyst path is thin: next earnings not until late Jan 2027 (~90 days), and the staffing sector is cyclical with limited structural tailwinds. The move has likely discounted the near-term catalyst; watch for demand trend confirmation or M&A speculation.

BUSINESS & POSITION

Robert Half is a global staffing and consulting firm specializing in accounting, finance, technology, legal, and administrative talent. The company operates a high-margin model with 300+ offices worldwide and serves as a leading indicator of white-collar labor demand.

FACTOR & THEME

Exposed to labor market recovery and corporate hiring trends, particularly in professional services. However, staffing is late-cycle and highly sensitive to recession risk. The sector is not currently in favor (Industrials are lagging), and RHI's white-collar focus makes it vulnerable to corporate cost-cutting. Theme momentum is decelerating.

BREAKOUT SIGNAL

Close above $45.87 on volume >3.8x 20-day average

INSTITUTIONAL

Volume surge to 3.81x on the earnings gap signals institutional participation, but the wide base (7.65) before the move suggests this was a surprise-driven gap rather than a controlled breakout. RS line at new high is positive, but the 21.7% one-day move leaves limited incremental-buyer fuel. Float of 89.7M provides liquidity but also means the stock is widely held.

EARNINGS

REPORTED

EARNINGS CONTEXT

Q3 earnings reported Oct 22 with a clear beat and guide raise, driving the 21.7% gap. Robert Half has been a serial beater in prior cycles, but the current labor market (slowing hiring, white-collar layoffs in tech/finance) makes forward visibility uncertain.

KEY RISK

Thesis invalid on a close back below $42.00 (the gap-fill level), or on any sequential demand deterioration commentary from management. The stock is extended and vulnerable to profit-taking; a macro downturn or weak January guidance would kill the setup.

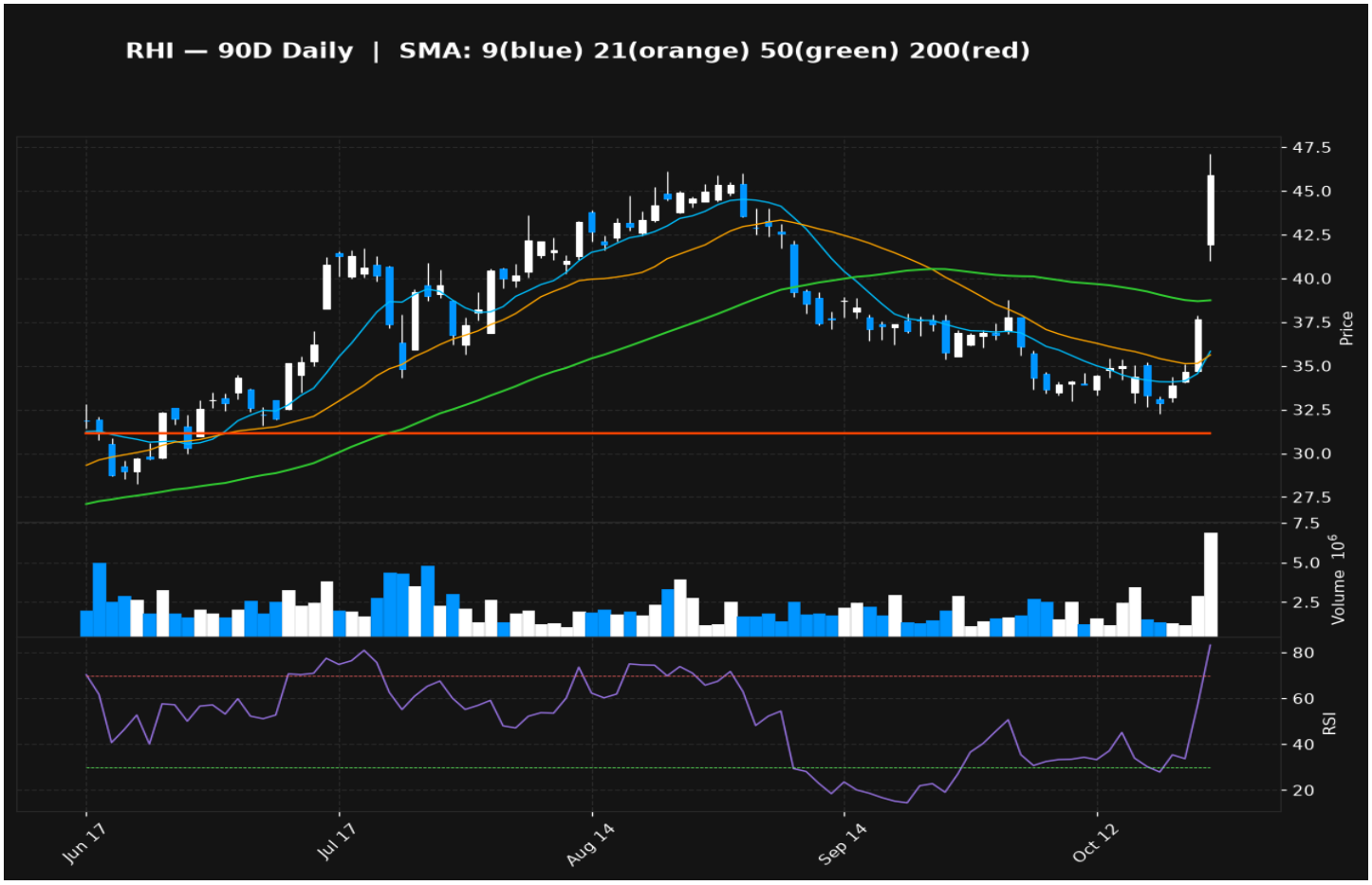
ANALYSIS

Strongest disconfirming evidence: base_tight 7.65 is the widest in the scan (disqualifying for A-grade under Qullamaggie methodology), and the 21.7% one-day gap leaves the stock extended with thin forward catalyst path. While RHI meets some A criteria (vol 3.81x, prox_52w 97.3, rs_line_new_high), the wide base and lack of durable forward catalyst downgrades it to B. This is a post-earnings momentum follow-through trade, not a fresh institutional breakout. Conviction: Low (extended, wide base, cyclical sector in mixed macro).

Signal: Close above $45.87 on volume >3.8x 20-day average

Vol vs Avg: 3.81x

RHI - Technical Chart



TALO

Talos Energy, Inc.

$18.39

+4.13%

RS vs SPY: +31.7%

B STRONG SETUP

$3.1B Cap | 140M Float

Oil & Gas E&P | Theme: Energy / Oil & Gas E&P | 52W Hi: 98% | Base Tight: 2.3 | Vol: 1.77x | RS/SPY: +31.7% | Above 20MA: YES | EARNINGS IN 11D

SETUP METRICS

Price	**$18.39**
Day Change	**+4.13%**
Mkt Cap	**$3.07B**
Float	**140M sh**
RS vs SPY	**+31.7%**
52W Hi Prox	**98%**
Base Tight	**2.3**
Vol vs Avg	**1.77x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Technical breakout in leading Energy sector (+12.4% vs SPY this week) ahead of Q3 earnings on Nov 3. Forward catalyst: earnings print with focus on production growth from recent QuarterNorth acquisition and Mexico asset base; sector tailwind from rising oil prices and Energy sector rotation provides durable support. Energy leadership is the strongest sectoral theme in current regime.

BUSINESS & POSITION

Talos Energy is an independent offshore oil and gas E&P focused on the U.S. Gulf of Mexico and Mexico, with growing CCS (carbon capture) and low-carbon energy initiatives. The company completed the transformational QuarterNorth acquisition in 2023, doubling production and reserves, and operates a high-margin, low-decline asset base.

FACTOR & THEME

Direct exposure to Energy sector leadership (+11.6% relative strength this week) and rising oil prices. TALO also has unique exposure to the CCS/low-carbon transition via its Bayou Bend CCS hub, positioning it as a hybrid E&P/energy transition play. Energy theme momentum is accelerating and is the dominant factor in current market regime.

BREAKOUT SIGNAL

Close above $18.39 on volume >1.8x 20-day average

INSTITUTIONAL

Volume at 1.77x is modest but sufficient given the Energy sector rotation. The tight base (2.3) and proximity to 52W highs (98.2%) suggest controlled accumulation. Float of 139.5M is large, which can dampen momentum but also signals a more liquid, institutionally-owned name. No insider buying, but the sector rotation and technical setup indicate smart money positioning ahead of Nov 3 earnings.

EARNINGS

EARNINGS IN 11D

EARNINGS CONTEXT

Q3 earnings Nov 3. Talos has delivered production beats post-QuarterNorth acquisition, and the focus will be on free cash flow generation and debt reduction. The Energy sector's momentum and TALO's operational leverage to oil prices suggest a favorable setup for a beat.

KEY RISK

Thesis invalid on a close back below $17.00 (20-day MA support), or on any production miss or reserve downgrade at the Nov 3 print. Oil price volatility and Gulf of Mexico hurricane risk are structural headwinds.

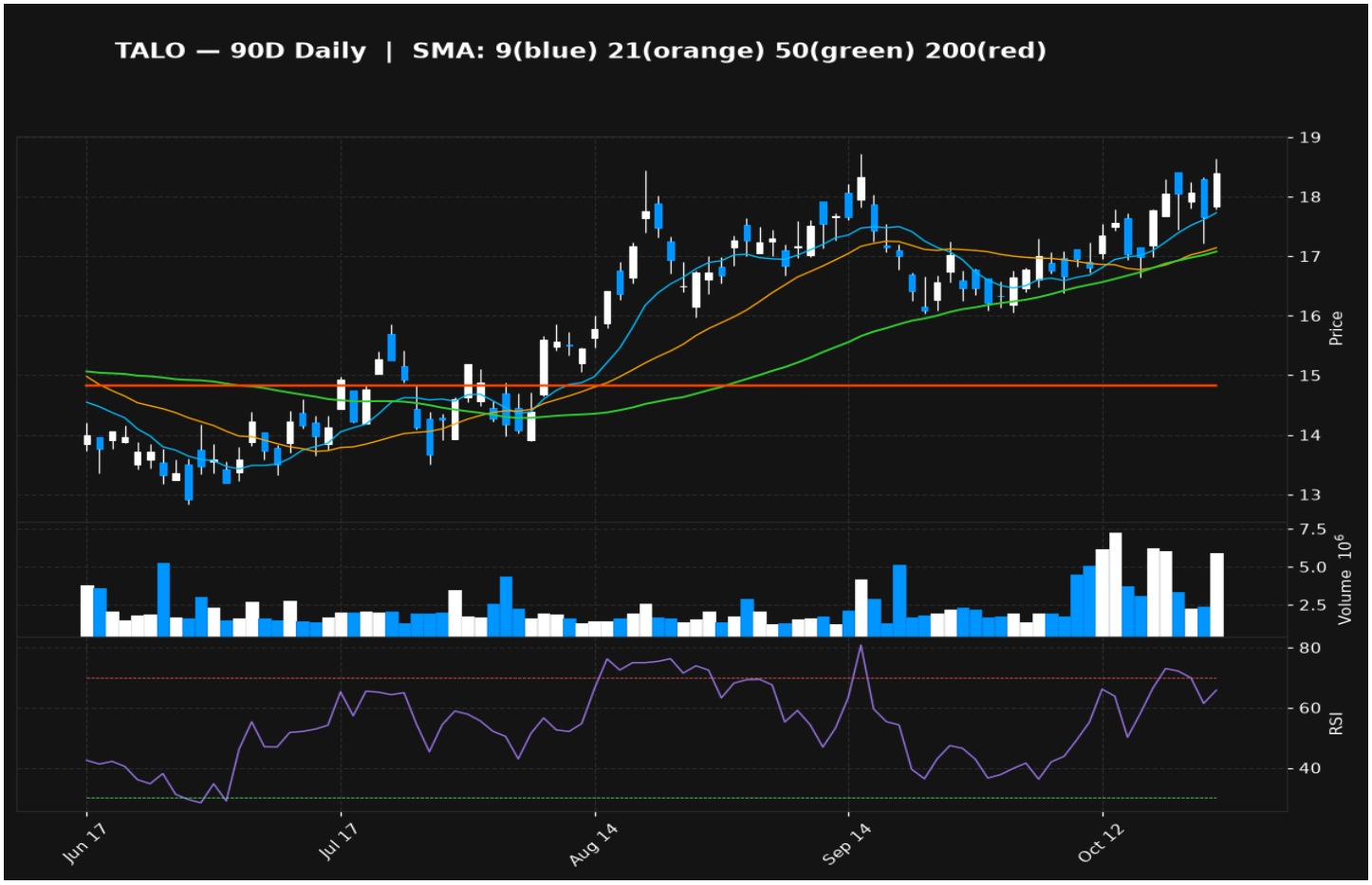
ANALYSIS

Strongest disconfirming evidence: rs_line_new_high is false (the critical Qullamaggie A-grade signal is missing), and volume at 1.77x is on the lower end. However, TALO benefits from Energy sector leadership (+12.4% this week, earning a +0.5 grade boost when setup quality is equal) and meets most B-grade criteria: prox_52w 98.2, rs_vs_spy +31.7, base_tight 2.3, and a live earnings catalyst in 11 days. The sector tailwind is the strongest in the scan. Conviction: Medium (sector leadership and earnings catalyst offset by missing RS line new high and modest volume).

Signal: Close above $18.39 on volume >1.8x 20-day average

Vol vs Avg: 1.77x

TALO - Technical Chart



SIGI

Selective Insurance Group, Inc.

$96.61

+5.31%

RS vs SPY: +0.0%

B STRONG SETUP

$5.8B Cap | 56M Float

Insurance - Property & Casualty | Theme: P&C Insurance | 52W Hi: 95% | Base Tight: 6.27 | Vol: 3.69x | RS/SPY: +0.0% | Above 20MA: YES | REPORTED

SETUP METRICS

Price	**$96.61**
Day Change	**+5.31%**
Mkt Cap	**$5.75B**
Float	**56M sh**
RS vs SPY	**+0.0%**
52W Hi Prox	**95%**
Base Tight	**6.27**
Vol vs Avg	**3.69x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Post-earnings move following Q3 print on Oct 22, likely driven by favorable loss ratios and premium growth. Forward catalyst path is thin: next earnings not until late Jan 2027, and the P&C insurance sector lacks structural tailwinds in current regime. The move appears to have discounted the catalyst; watch for any catastrophe loss updates or rate adequacy commentary.

BUSINESS & POSITION

Selective Insurance is a regional property and casualty insurer serving commercial and personal lines in 23 states, with a focus on standard and preferred risk segments. The company operates a disciplined underwriting model with consistent combined ratios below 95% and a strong distribution network via independent agents.

FACTOR & THEME

P&C insurance is a defensive sector benefiting from rate increases and reserve releases, but it is not aligned with current market leadership (Energy, Utilities, Staples). The hard market in commercial lines is moderating, and catastrophe losses remain elevated. Theme momentum is neutral to decelerating.

BREAKOUT SIGNAL

Close above $96.61 on volume >3.7x 20-day average

INSTITUTIONAL

Volume surge to 3.69x on the earnings gap signals institutional participation, but rs_vs_spy at 0.0 and rs_line_new_high false indicate this is a sector-specific move, not broad market leadership. The wide base (6.27) suggests a surprise-driven gap rather than a controlled breakout. Float of 55.7M is moderate.

EARNINGS

REPORTED

EARNINGS CONTEXT

Q3 earnings reported Oct 22. Selective has a solid track record of beating on combined ratio and premium growth, and the 5.3% move suggests the print met or exceeded expectations. However, forward visibility is limited given the long runway to next earnings.

KEY RISK

Thesis invalid on a close back below $91.00 (the gap-fill level), or on any adverse catastrophe loss development or reserve strengthening disclosure. The stock is vulnerable to profit-taking given the wide base and lack of near-term catalysts.

ANALYSIS

Strongest disconfirming evidence: rs_vs_spy at 0.0 (no relative strength), rs_line_new_high false, and base_tight 6.27 (wide base disqualifies for A-grade). The post-earnings gap is institutional in nature (3.69x volume), but the lack of relative strength and wide base downgrades this to B. SIGI is a defensive sector play without alignment to current market leadership. Conviction: Low (earnings catalyst exhausted, no relative strength, wide base).

Signal: Close above $96.61 on volume >3.7x 20-day average

Vol vs Avg: 3.69x

SIGI - Technical Chart



CUBI

Customers Bancorp, Inc

$84.54

+7.38%

RS vs SPY: +3.4%

B STRONG SETUP

$2.9B Cap | 32M Float

Banks - Regional | Theme: Regional Banking | 52W Hi: 98% | Base Tight: 5.64 | Vol: 3.45x | RS/SPY: +3.4% | Above 20MA: YES | EARNINGS IN 90D

SETUP METRICS

Price	**$84.54**
Day Change	**+7.38%**
Mkt Cap	**$2.86B**
Float	**32M sh**
RS vs SPY	**+3.4%**
52W Hi Prox	**98%**
Base Tight	**5.64**
Vol vs Avg	**3.45x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Technical breakout driven by regional bank sector rotation and potential rate-cut optimism (banks benefit from steepening yield curve). Forward catalyst: next earnings not until Jan 21 (90 days out, too distant for actionable positioning), but watch for any loan growth or deposit quality updates, Fed policy shifts, or M&A speculation in the regional bank space.

BUSINESS & POSITION

Customers Bancorp is a regional bank focused on specialty lending (multi-family, commercial real estate, venture banking) with a technology-forward approach. The bank serves niche markets including commercial and specialty finance, and operates the Customers Bank division and BankMobile digital platform.

FACTOR & THEME

Exposed to regional bank recovery thesis (post-SVB crisis stabilization) and rate-cut tailwinds (steepening curve benefits NIM). However, regional banks remain under scrutiny for CRE exposure and deposit quality. The sector is not in current market leadership, and the 90-day runway to earnings dilutes near-term catalyst conviction.

BREAKOUT SIGNAL

Close above $84.54 on volume >3.5x 20-day average

INSTITUTIONAL

Volume surge to 3.45x signals institutional participation, but the wide base (5.64) and lack of rs_line_new_high suggest this is opportunistic positioning rather than sustained accumulation. Float of 31.8M is small enough to generate momentum if buying persists. No insider buying data. The technical breakout is weaker than peers given the wide base and modest relative strength.

EARNINGS

EARNINGS IN 90D

EARNINGS CONTEXT

Next earnings Jan 21, 90 days out. Too distant to be a near-term catalyst. The current move is driven by technical/sector rotation rather than fundamental inflection.

KEY RISK

Thesis invalid on a close back below $78.00 (prior resistance), or on any adverse CRE credit quality disclosure or deposit flight. Regional banks remain vulnerable to macro uncertainty and regulatory scrutiny.

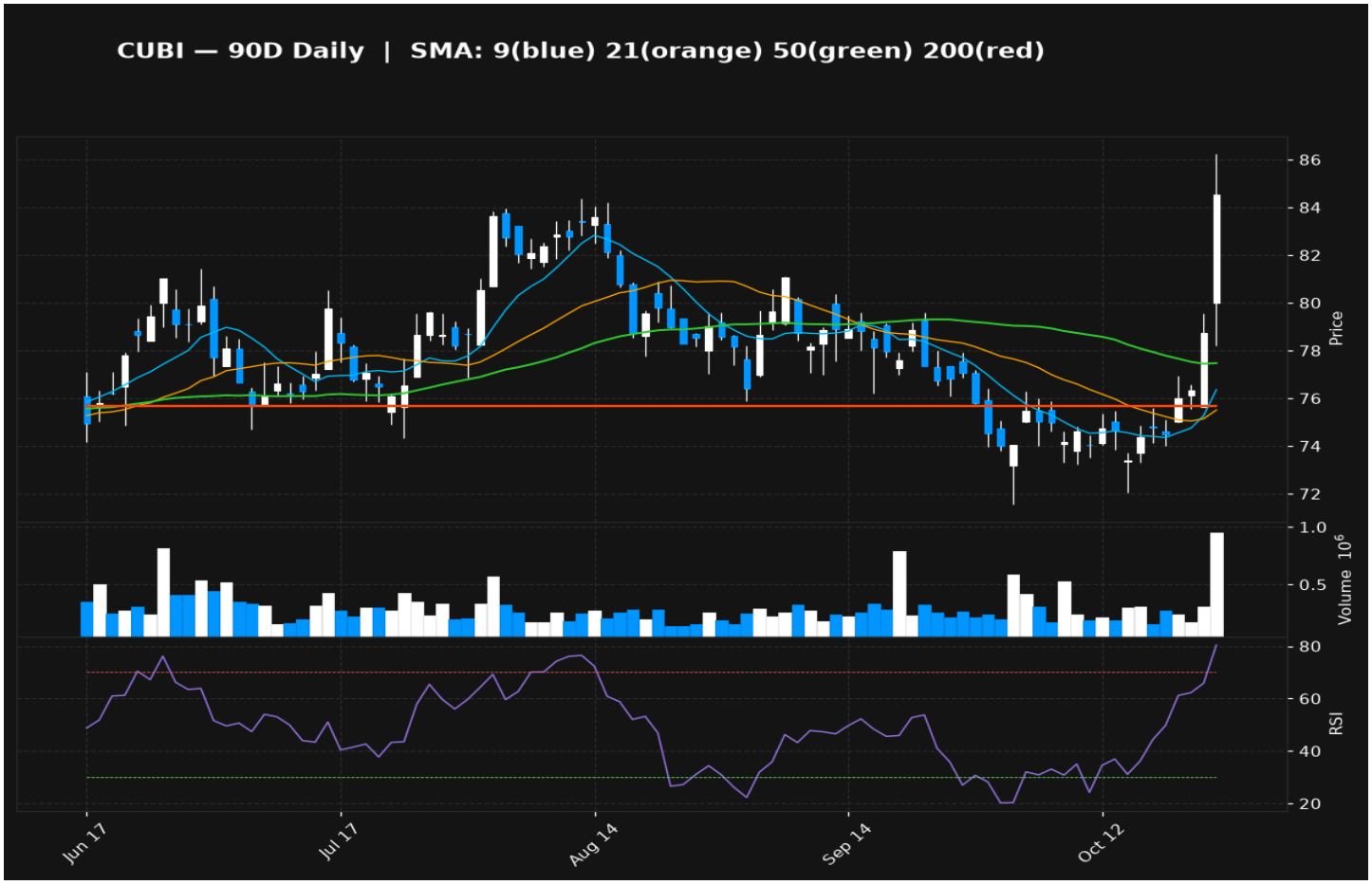
ANALYSIS

Strongest disconfirming evidence: base_tight 5.64 (wide base), rs_line_new_high false, and 90-day runway to next earnings eliminates near-term catalyst edge. While CUBI has strong volume (3.45x) and proximity to 52W highs (98.0%), the weak relative strength (+3.4) and wide base disqualify it from A-grade. This is a sector-rotation trade without a durable catalyst path. Conviction: Low (wide base, weak RS, no near-term catalyst).

Signal: Close above $84.54 on volume >3.5x 20-day average

Vol vs Avg: 3.45x

CUBI - Technical Chart



WFRD

Weatherford International plc

$86.85

+6.98%

RS vs SPY: +1.4%

B STRONG SETUP

$6.3B Cap | 70M Float

Oil & Gas Equipment & Services | Theme: Energy Services | 52W Hi: 77% | Base Tight: 3.8 | Vol: 2.28x | RS/SPY: +1.4% | Above 20MA: YES | REPORTED

SETUP METRICS

Price	**$86.85**
Day Change	**+6.98%**
Mkt Cap	**$6.29B**
Float	**70M sh**
RS vs SPY	**+1.4%**
52W Hi Prox	**77%**
Base Tight	**3.8**
Vol vs Avg	**2.28x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Post-earnings move following Q3 print on Oct 20, benefiting from Energy sector leadership (+12.4% this week). Forward catalyst: sustained momentum from international drilling activity and oilfield services demand; however, next earnings not until late Jan 2027 (~90 days). Energy sector rotation is the primary driver; watch for oil price trends and international rig count data.

BUSINESS & POSITION

Weatherford is a global oilfield services provider specializing in drilling, evaluation, completion, and production optimization. The company emerged from Chapter 11 in 2019 with a restructured balance sheet and has since focused on capital-light, technology-led services (digital, well construction, artificial lift) to drive margin expansion.

FACTOR & THEME

Direct exposure to Energy sector leadership and international drilling activity (Weatherford has strong presence in Middle East, Latin America). The oilfield services market is consolidating, and WFRD's capital-light strategy positions it well for free cash flow growth. Energy theme momentum is accelerating, earning a +0.5 grade boost for this sector.

BREAKOUT SIGNAL

Close above $86.85 on volume >2.3x 20-day average

INSTITUTIONAL

Volume at 2.28x is solid, and the Energy sector tailwind supports institutional participation. However, rs_vs_spy at +1.4 is weak (lagging the broader Energy move), and prox_52w 76.8 indicates the stock is not at breakout levels. Float of 70.3M is liquid. No insider buying. The setup is a sector-rotation beneficiary rather than an idiosyncratic leader.

EARNINGS

REPORTED

EARNINGS CONTEXT

Q3 earnings reported Oct 20. Weatherford typically beats on margin expansion and free cash flow generation, and the 7% move suggests a favorable print. However, forward visibility is limited with next earnings ~90 days out.

KEY RISK

Thesis invalid on a close back below $80.00 (round number support and 20-day MA), or on any international rig count decline or oil price correction. The stock is not at 52W highs and lacks a near-term catalyst to drive further momentum.

ANALYSIS

Strongest disconfirming evidence: prox_52w 76.8 (not in breakout zone), rs_vs_spy +1.4 (weak relative strength despite Energy leadership), and rs_line_new_high false. While WFRD benefits from Energy sector tailwind (+0.5 grade boost considered), the weak RS and distance from 52W highs limit breakout conviction. This is a sector-rotation trade, not a leadership breakout. Conviction: Low (lagging Energy peers, not at highs, no near-term catalyst).

Signal: Close above $86.85 on volume >2.3x 20-day average

Vol vs Avg: 2.28x

WFRD - Technical Chart



SDRL

Seadrill Limited

$52.35

+6.42%

RS vs SPY: +24.8%

B STRONG SETUP

$3.3B Cap | 62M Float

Oil & Gas Drilling | Theme: Energy / Offshore Drilling | 52W Hi: 94% | Base Tight: 3.08 | Vol: 1.68x | RS/SPY: +24.8% | Above 20MA: YES | EARNINGS IN 11D

SETUP METRICS

Price	**$52.35**
Day Change	**+6.42%**
Mkt Cap	**$3.27B**
Float	**62M sh**
RS vs SPY	**+24.8%**
52W Hi Prox	**94%**
Base Tight	**3.08**
Vol vs Avg	**1.68x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Technical breakout in Energy sector (+12.4% this week) ahead of Q3 earnings on Nov 3. Forward catalyst: earnings print with focus on rig utilization, dayrate trends, and contract backlog; offshore drilling demand is accelerating as E&Ps pivot to high-margin deepwater projects. Energy sector leadership provides durable tailwind.

BUSINESS & POSITION

Seadrill is a leading offshore drilling contractor operating ultra-deepwater drillships and harsh-environment jack-ups, serving major oil companies globally. The company emerged from Chapter 11 in 2022 with a clean balance sheet and is benefiting from the multi-year upcycle in offshore drilling (tight rig supply, rising dayrates, long-term contracts).

FACTOR & THEME

Direct exposure to Energy sector leadership and the offshore drilling upcycle. Dayrates have doubled since 2021, and rig utilization is near multi-year highs. SDRL is leveraged to the multi-year tailwind of underinvestment in offshore oil (supply-side discipline). Energy theme momentum is accelerating, earning a +0.5 grade boost.

BREAKOUT SIGNAL

Close above $52.35 on volume >1.7x 20-day average

INSTITUTIONAL

Volume at 1.68x is modest but adequate given the sector rotation. RS of +24.8 vs SPY is solid, though rs_line_new_high false indicates the stock is not yet at leadership confirmation. Float of 62.3M is moderate. No insider buying. The setup is sector-driven with earnings catalyst in 11 days providing a near-term inflection point.

EARNINGS

EARNINGS IN 11D

EARNINGS CONTEXT

Q3 earnings Nov 3. Seadrill has been delivering consistent beats on utilization and backlog growth. The focus will be on new contract wins and free cash flow generation. The offshore drilling market is in a structural upcycle, supporting a favorable setup for the print.

KEY RISK

Thesis invalid on a close back below $48.00 (20-day MA support), or on any rig utilization decline or contract delays at the Nov 3 print. Oil price volatility and deepwater project capex cuts are structural risks.

ANALYSIS

Strongest disconfirming evidence: rs_line_new_high false (missing the key A-grade confirmation), and volume at 1.68x is on the lower end. However, SDRL benefits from Energy sector leadership (+0.5 grade boost) and has a live earnings catalyst in 11 days. RS of +24.8 is solid, prox_52w 94.4 is near highs, and the offshore drilling upcycle is a durable multi-year tailwind. This is a strong B-grade setup with sector tailwind and near-term catalyst. Conviction: Medium (sector strength and earnings catalyst offset by missing RS line new high).

Signal: Close above $52.35 on volume >1.7x 20-day average

Vol vs Avg: 1.68x

SDRL - Technical Chart

